



SVB — Resolution and Capital Recovery Analysis

Phase Overview

Dashboard

Interventions

Hub

Home

PROVISIONAL: Recovery scores (R_p) are derived from public FDIC resolution records, the Federal Reserve SVB review (April 2023), and FDIC supervisory insights reports. Scores represent the degree to which each phase's financial value was recovered or preserved through the FDIC receivership process. Omega weights reflect estimated economic significance of each phase to total stakeholder value at time of failure.

TVPCI (PRIMARY CHAIN)

61.3%

8-phase structural balance at failure

TVPCI-R (RESOLUTION RECOVERY)

56.5%

Weighted recovery score across phases

B_CHAIN (HOLON BALANCE)

85.5%

$\exp(-2 \times |TVPCI - TVPCI-R| / \max)$

TVPCI VS TVPCI-R — PRIMARY CHAIN VS RECOVERY CHAIN BALANCE



Delta_chain = 61.3% - 56.5% = +4.8 percentage points. Primary chain slightly exceeds recovery chain, indicating that the resolution process recovered slightly less value than the structural health of the institution at failure would predict. The FDIC systemic risk exception was required to achieve even the 56.5% recovery score.

PHASE 0

Deposit Recovery

90%

$\omega = 0.25$

All deposits (insured and uninsured) made whole via systemic risk exception. Full depositor recovery achieved — the exceptional outcome in this resolution.

PHASE 1

Capital / Equity Recovery

0%

$\omega = 0.10$

Equity completely wiped out. SVB Financial Group shareholders received nothing. Bond-holders lost principal. Standard capital wipeout in FDIC resolution.

PHASE 2

Asset Recovery

75%

$\omega = 0.20$

HTM bond portfolio sold progressively by FDIC. First Citizens BancShares acquired SVB assets at a discount. Estimated 75% recovery on bond portfolio after discounts and resolution costs.

PHASE 3

Rate Risk Resolution

30%

$\omega = 0.20$

Unrealized rate losses partially crystallized at sale. Some losses absorbed by FDIC fund rather than depositors. Rate environment improved modestly from peak — partial natural recovery of HTM value.

PHASE 4

Liquidity Recovery

85%

$\omega = 0.10$

FDIC Bridge Bank provided immediate liquidity backstop. All depositors could access funds within 48 hours of receivership. Liquidity function fully restored in resolution.

PHASE 5

Franchise / Earnings

20%

$\omega = 0.05$

SVB franchise value (brand, client relationships, technology banking expertise) largely destroyed. First Citizens acquired a discount shadow of the original.

PHASE 6

Market Confidence

10%

$\omega = 0.05$

Institutional confidence in SVB-style mid-tier specialty bank model severely damaged. Contagion effects to Signature Bank and broader regional

PHASE 7

Regulatory Learning

60%

$\omega = 0.05$

Supervisory reforms proposed and partially implemented: enhanced examination standards, AOCI inclusion discussions, LCR extension proposals.

Ongoing earnings capacity minimal.

banking sector. Confidence phase unrecoverable.

Full regulatory reform incomplete as of mid-2026.

Value Loss Table — Phase-by-Phase Economic Impact

PHASE	PRIMARY VALUE LOST	ESTIMATED SCALE	CURRENT DISPOSITION	RECOVERY POTENTIAL	R_P
Ph 0: Deposits	Depositor access risk (uninsured balances)	~\$175B at risk momentarily	Fully recovered via systemic risk exception	Achieved — systemic exception required	90%
Ph 1: Equity	Shareholder and bondholder capital	~\$16B equity wiped out	Zero recovery for equity holders	None — resolution law requires wipeout	0%
Ph 2: Assets	HTM portfolio discount at forced sale	\$17.7B unrealized losses at peak	First Citizens acquired at ~\$55B discount on \$72B assets	Partial — rate environment improvement aided recovery	75%
Ph 3: Rate Risk	Unhedged interest rate losses crystallized	~\$8-12B absorbed by FDIC fund	FDIC insurance fund absorbed losses; repaid via special assessment on large banks	Partial — time-limited rate recovery	30%
Ph 4: Liquidity	Depositor access disruption	48-72 hour access gap	Bridge bank restored access; minimal lasting harm	Effectively full — bridge bank mechanism worked	85%
Ph 5: Franchise	SVB brand, technology banking expertise, client base	Substantial intangible value destroyed	Partially acquired by First Citizens; client relationships migrated	Low — franchise value is not recoverable once confidence is lost	20%
Ph 6: Confidence	Market stability; contagion to Signature Bank, broader regional sector	Systemic — estimated \$100B+ in sector-wide deposit outflows	Fed emergency lending (BTFFP) backstopped sector; contagion contained	None for SVB specifically; sector confidence partially rebuilt	10%
Ph 7: Regulation	Lost opportunity for pre-failure	Ongoing systemic exposure	Post-failure reforms partially implemented; LCR	Partial — reforms introduced but	60%

PHASE	PRIMARY VALUE LOST	ESTIMATED SCALE	CURRENT DISPOSITION	RECOVERY POTENTIAL	R_P
	supervisory reform	during 18-month detection window	extension, stress testing scope under review	not fully enacted	

Counterfactual: What Early Intervention Would Have Recovered

If the N-D-C structural signal had been acted upon in Q3 2021 (the quarter Phase 3 crossed into Breakdown), the following resolution path was available:

- Supervisory requirement to restore hedging coverage: Phase 3 balance recovery to 55-65%. No mark-to-market insolvency.
- Required asset rebalancing: HTM reduced from 55% to 30% of assets over 4-6 quarters. Losses recognized gradually under AFS classification rather than catastrophically at failure.
- Private capital raise at 2021 valuations: SVB market cap in 2021 was \$25-35B. Capital raise under controlled conditions would have been successful. Failure capital raise in March 2023 failed because the structural collapse was already terminal.

Estimated counterfactual outcome: No FDIC receivership. FDIC fund not depleted (~\$20B saved). Shareholders retain substantial value. Tech sector banking stability maintained. Systemic risk exception not required. Total economic value preserved: estimated \$35-50B compared to actual loss of approximately \$30-40B in aggregate (equity, franchise, fund, contagion costs).

Priority Circular Capital Interventions

INTERVENTION	PHASE	DESCRIPTION	EXPECTED R_P IMPACT
Mandatory hedge coverage floor for HTM concentration	Phase 3	Require 50% hedge coverage of HTM duration risk. Prevents Phase 3 entering Breakdown. Primary prevention intervention.	Phase 3 R_p: 30% to 70%+ (structural failure prevented, not remediated)
AOCI inclusion in regulatory capital	Phase 1	Remove the mid-tier bank AOCI exclusion. Forces capital raise or asset sale before mark-to-market insolvency reaches systemic threshold.	Phase 1 deceptive signal resolved: R_p for equity holders improves to 40-60% under orderly wind-down vs. 0% at failure

INTERVENTION	PHASE	DESCRIPTION	EXPECTED R_P IMPACT
Structural supervisory review trigger at Breakdown detection	System-wide	Any phase below 38.2% balance for two consecutive quarters triggers mandatory examination and public disclosure. Closes the 18-month gap between model detection and supervisory action.	System TVPCI-R improves from 56.5% to estimated 72-78% (orderly restructuring vs. emergency receivership)